

AKA
Tribal Law
14-002

Bill No. 14-003

To provide for the establishment of procedures for the enforcement of mortgages, to confer jurisdiction for such enforcement by the BIA Law Enforcement Division and to provide for adjudication and administration by the Court of Indian Offenses for the benefit of the citizens of the Chickasaw Nation.

IN THE CHICKASAW TRIBAL LEGISLATURE

The following Bill was introduced by the Honorable Jack Wells, Chairman of the Land Development Committee and Linda Briggs, Robert Walton, and Jerry Imotichey, Members of the Committee.

A BILL

BE IT ENACTED by the Tribal Legislature of the Chickasaw Nation, assembled, these procedures for the enforcement of mortgages, hereinafter referred to as the "Chickasaw Nation Mortgage Enforcement Act of 1996," and consisting of the following provisions which shall be properly codified into the "Code of the Chickasaw Nation," to wit:

Chapter 2, Title 18 will be amended to read as follows:

SECTION 18-200.1. DEFINITION

For the purposes of this Chapter, "Lien" shall mean a claim or charge on property for payment of some debt, obligation, or duty.

SECTION 18-200.2. APPLICATION

Contracts of mortgage and pledge are subject to all provisions of this Chapter.

SECTION 18-200.3 CREATION OF A LIEN

A Lien is created:

1. by contract of the parties; or

2. by operation of law except that no Lien arises by operation of law until the time the act to be secured has lapsed without performance.

SECTION 18-200.4. LIEN ON FUTURE INTEREST

An agreement may be made to create a Lien upon future interests in property. In such a case, the Lien attaches at the time the property interest vests.

SECTION 18-200.5. LIMITATIONS OF LIENS

A. Notwithstanding any agreement to the contrary, a Lien or a contract for a Lien transfers no title to the property subject to the Lien.

B. The creation of a Lien does not of itself imply that any person is bound to perform the act for which the Lien is a security.

C. The existence of a Lien upon property does not entitle the lienholder to a Lien upon the same property for the performance of any other obligations other than that for which the Lien was originally secured.

D. The lienholder is not entitled to compensation from the property owner for any trouble or expense which he incurs.

SECTION 18-200.6. PRIORITY OF LIENS

A. A Lien upon property held by the Chickasaw Nation for the payment of tribal taxes shall not become subordinate to any other Lien.

B. A mortgage given for the purchase or refinance of real property has priority over all other Liens so long as the mortgage is duly recorded.

C. Liens have priority according to the time of their creation, so long as the instruments creating the Liens are duly recorded, and unless otherwise accorded a different status under Chickasaw law.

D. Where one has a Lien upon several things, and other persons have subordinate Liens upon or interests in some but not all of the same things, the person having the prior Lien, if he can do so without the risk of loss to himself or injustice to other persons must, on the demand of any interested party, resort to the property in the following order:

1. to the things upon which he has an exclusive Lien;
2. to the things which are subject to the fewest subordinate Liens;

3. in like manner inversely to the number of subordinate Liens on the same thing;
and

4. when several things are within one of the foregoing classes, and subject to the same number of Liens, resort must be had:

a. to the things which have not been transferred since the prior Lien was created;

b. to the things which have been so transferred without a valuable consideration; and

c. to the things which have been so transferred for a valuable consideration.

SECTION 18-200.8. HOLDER OF A SUBORDINATE LIEN

A. "Subordinate Lienholder" shall mean the holder of any Lien, including a subordinate mortgage, perfected subsequent to the recording of a prior lien or a Mortgage under this Act; provided, however, that such terms shall not include the Chickasaw Nation with respect to a claim for a tribal tax.

B. A Subordinate Lienholder shall have a right:

1. to redeem the property in the same manner as its owner might, from a prior Lien; and

2. to be subrogated to all the benefits of the prior Lien, when necessary for the protection of his interests, upon satisfying the claim secured thereby.

SECTION 18-200.9. REDEMPTION OF A LIEN

Redemption from a Lien is made by performing, or offering to perform, the act for the performance of which it is a security, and paying, or offering to pay, the damages, if any, to which the holder of the Lien is entitled for delay.

SECTION 18-200.10. LIMITATION OF TIME

A Lien is extinguished by the lapse of the time within which, under the provisions of civil procedure, an action can be brought upon the principal obligation.

SECTION 18-200.11. PARTIAL PERFORMANCE

The partial performance of an act secured by a Lien does not extinguish the Lien upon any part of the property subject thereto, even if it is divisible.

SECTION 18-200.12. VOLUNTARY RESTORATION AS EXTINGUISHING LIEN

The voluntary restoration of property to its owner, by the lienholder, extinguishes the Lien as to such property, unless otherwise agreed by the parties, and extinguishes it, notwithstanding any such agreements, as to creditors of the owner and persons subsequently acquiring title to the property, or a Lien thereon, in good faith and for good consideration.

SECTION 18-200.13. VENDOR'S LIEN

A. Upon the sale of real property by the owner, the owner/seller has a vendor's Lien for the price that remains unpaid and unsecured subject to the rights of the purchaser.

B. Where the purchaser of real property gives the seller a written contract for payment of all or part of the price, an absolute transfer of the contract by the seller waives the vendor's Lien to the extent of the sum payable under the contract, but a transfer of such contract in trust to pay debts and return the surplus, is not a waiver of the Lien.

SECTION 18-200.14. BANKER'S LIEN

A banker has a Lien, dependent on possession, upon all property in his hands belonging to a customer, for the balance due to him from such customer in the course of the business.

SECTION 18-200.15. JUDGMENT LIEN

The Lien of a judgment is provided for in Title 5 of the Code of the Chickasaw Nation.

SECTION 18-200.16. KEEPER OF INN, HOTEL, OR BOARDINGHOUSE

The keeper of any inn, hotel, or boardinghouse shall have a Lien on the baggage and other property brought to the same by or under the control of his guest or boarders for the proper charges due him from such guests or boarders for accommodation, board, lodging, and for all money paid for or advanced to them. Also included are other extras that are furnished at the request of such guest. The innkeeper, hotelkeeper or boardinghouse keeper shall have the right to detain such baggage and other property until the amount of such charges are paid and the Lien and the cost of satisfying it are paid. The innkeeper, hotelkeeper, or boardinghouse keeper shall retain such baggage and other property upon which he has a Lien for a period of ninety (90) days, at the expiration of which time,

if the Lien is not satisfied, he may sell such baggage and other property at public auction, first giving notice of the auction to said guest or boarder at the place of residence designated by the register of the inn or hotel.

SECTION 18-200.17. MATERIALMAN'S LIEN

A person who furnishes material for the construction, improvement or alteration of a building or other structure has a priority Lien for the balance due to him.

Chapter 4 - Title 18 will be amended to read as follows:

SECTION 18-400.1. FINDING

The Chickasaw Tribal Legislature finds that a need exists for rules and procedures pertaining to the enforcement of mortgages of land within the Chickasaw Nation given to secure loans made by the Chickasaw Nation and other individuals and business entities.

SECTION 18-400.2. AUTHORITY AND PURPOSE

The basis of authority for this Act is the Constitution of the Chickasaw Nation, Article VI, Section 1, and Article VII, Section 7. The Chickasaw Tribal Legislature, with the adoption of this Act, hereby prescribes rules and procedures relating to priority of lien, recordation, foreclosure and evictions in connection with:

1. mortgages given to secure loans made by Mortgagees; and
2. all Property and parties subject to Mutual Help and Occupancy Agreements pursuant to the Mutual Help Homeownership Opportunity Program administered by the Chickasaw Housing Authority .

SECTION 18-400.3. DEFINITIONS

The following definition shall apply to this Act:

1. "Lease" shall mean a ground lease or other agreement for use of Property on which a Mortgage may be given.
2. "Leasehold Estate" shall mean a leasehold estate established pursuant to a Lease between the Tribe, or an agency of the Tribe, as Lessor, and an individual or a business entity, as Lessee or Tenant.

3. "Lessee" shall mean any person or entity who occupies Property under a Lease.

4. "Lessor" shall mean the Chickasaw Nation or an agency thereof, including the successor(s) or assign(s) of such Lessor.

5. "Mortgage" shall mean a conveyance of Property, or an interest in Property, as security for a loan on the condition that the conveyance becomes void on payment or performance according to the terms of the Mortgage instrument.

6. "Mortgagor" shall mean the Chickasaw Nation, an agency thereof, any citizen of the Chickasaw Nation or any other individual or business entity which has executed a Mortgage, including any heir(s), successor(s), executor(s), administrator(s) or assign(s) of such individual or entity.

7. "Mortgagee" shall mean the lender under any Mortgage made, or any successors or assigns of such lender. This definition also includes, without any consent by the Chickasaw Nation, any subsequent holder, whether by assignment, succession or otherwise, of the original Mortgagee's right, title or interest in and to the Mortgage and/or a Leasehold Estate, together with the improvements.

8. "Mortgage Foreclosure Proceeding" shall mean a proceeding in the Tribal Court:

a. to foreclose the interest of the Mortgagor(s), and each person or entity claiming through the Mortgagor(s), in Property on which a Mortgage was made by a Mortgagee; and/or

b. to assign such property interest to the Mortgagee or the Mortgagee's successors or assigns.

9. "Mutual Help and Occupance Agreement" or "MHO Agreement" shall mean a lease-purchase agreement between the Chickasaw Housing Authority, as Lessor, and an individual or individuals, as Lessee(s), pursuant to the Mutual Help Homeownership program.

10. "Nuisance" shall mean maintenance on the Property of a condition which:

a. unreasonably threatens the health or safety of the public or neighboring land users; or

b. unreasonably and substantially interferes with the ability of neighboring real property users to enjoy the reasonable use and occupancy of their property.

11. "Program Area" shall mean that land designated by regulations of the U.S. Department of Housing and Urban Development and any other area in which the Chickasaw Nation is authorized to act pursuant to federal and tribal law.

12. "Property" shall mean interests in land that are given as security for a Mortgage loan or are the subject of an MHO Agreement. Such interests shall include Leasehold Estates.

13. "Subordinate Lienholder" shall mean the holder of any Lien, including a subordinate mortgage, perfected subsequent to the recording of a prior lien or a Mortgage under this Act; provided, however, that such terms shall not include the Chickasaw Nation with respect to a claim for a tribal tax.

14. "Tenant" shall mean any person or entity who occupies Property under a Lease.

15. "Tribal Court" shall mean the Court of Indian Offenses or other court authorized by this Act to exercise the powers and functions of a court of law with jurisdiction over matters that have occurred in the territorial jurisdiction of the Chickasaw Nation.

16. "Unlawful Detainer Action" shall be a suit brought before the Tribal Court to terminate a tenant's interest in property and/or to evict any person from occupancy of such Property.

17. "Waste" shall mean spoil or destruction of land, buildings, gardens, trees or other improvements on a Property which results in substantial injury to a Lessor's or Mortgagee's interest in Property.

18. "Writ of Restitution" is an order of the Tribal Court:

a. restoring an owner, Lessor, or Mortgagee (or other successor in interest) to possession of a Property subject to a Mortgage; and/or

b. evicting a Tenant or other occupant from a Property.

ARTICLE I

MORTGAGE REQUIREMENTS AND FORECLOSURE PROCEDURES

SECTION 18-401.1. JURISDICTION

A. The provisions of this Article I shall apply to all Property and parties to Mortgages subject to the jurisdiction of the Chickasaw Nation.

B. Nothing in this Act shall be construed to be a waiver of the sovereign immunity of the Chickasaw Nation, its officers, employees, agents, political subdivisions, departments, agencies or enterprises, for any purpose whatsoever, or to be a consent to any suit beyond the limits now or hereafter specifically stated by Chickasaw law. The above notwithstanding, leases, contracts, agreements and mortgage instruments to which the Chickasaw Nation, or any agency thereof, is a party may be enforced against the Chickasaw Nation, or such agency thereof, in Tribal Court in accordance with this Act when, and only when, such enforcement is authorized, in writing, as a Limited Waiver of Sovereign Immunity, in the Lease, contract, agreement or mortgage instrument to be enforced. Any such Limited Waiver of Sovereign Immunity must be included in a document that had been authorized by the Tribal Legislature as to form prior to the execution of such document; provided, however, that the Limited Waiver of Sovereign Immunity does not authorize the levy of any judgment, lien, garnishment or attachment upon any property or income of the Chickasaw Nation, or any agency thereof, other than property or income specifically and in writing duly mortgaged, pledged or assigned as collateral for the debts or liabilities of the Chickasaw Nation, or any agency thereof, related to the Lease, contract, agreement or mortgage instrument to be enforced. This limitation does not prohibit or disallow any suit against the Chickasaw Nation, or any agency thereof, for specific performance of any Lease, contract, agreement or mortgage instrument subject to this Act. The authority provided herein is not intended to nor shall it be construed to waive the immunity of the Tribe for any other purpose or with respect to any claim or other matter not specifically mentioned herein, and is not intended to, nor shall it extend to, the benefit of, any person other than the parties to such Leases, contracts, agreements or mortgage instruments or their successors or assigns.

C. The mortgaging of real property title to which is held by the United States in trust for the benefit of the Chickasaw Nation or individual Indians and the taking into such trust status real property which has been pledged as collateral for a mortgage shall only occur to the extent allowed by federal law.

SECTION 18-401.2. GRANT OF JURISDICTIONAL AUTHORITY EXTENDED TO THE COURT OF INDIAN OFFENSES AND BIA LAW ENFORCEMENT

Under authority of sub-part (e) of part 11.100 of Title 25 of the Code of Federal Regulations, the Chickasaw Nation, through its governing body, the Chickasaw Tribal Legislature, extends to the Court of Indian Offenses for the Chickasaw Nation (hereinafter referred to as the "Court") territorial jurisdiction in criminal jurisdiction over the provisions of this, the "Chickasaw Nation Criminal Code Act" (hereinafter referred to as the "Act"), but reserves the right to revoke such jurisdiction at such time that the Chickasaw Nation establishes its own tribal court system. Authority to enforce the provisions of this Act is vested in the Bureau of Indian Affairs Law Enforcement Division (hereinafter referred to as the "BIA Law Enforcement Division") or any other law enforcement office that is operating under a cross-deputization agreement with the BIA, subject to revocation or modification at such time that the Chickasaw Nation establishes its own law enforcement system.

SECTION 18-401.3. PRIORITY OF LIEN

A Mortgage recorded in accordance with the procedures set forth in this Act shall have priority over any lien not perfected at the time of such recording and any subsequent lien or claim (except a lien or claim arising from a Tribal tax assessed against Property subject to a Mortgage), in accordance with Chapter 2, Title 18 of the Code of the Chickasaw Nation.

SECTION 18-401.4. RECORDATION

Mortgages originated pursuant to this Act shall be recorded in the Bureau of Indian Affairs Area Land Titles and Records Office and the county recorder's office in the county and state in which the Properties are located.

SECTION 18-401.5. MORTGAGE FORECLOSURE PROCEEDINGS

Upon the default of the Mortgagors and upon expiration of any applicable cure periods under a Mortgage, a Mortgagee or its successors and assigns may commence a Mortgage foreclosure proceeding in the Tribal Court as follows:

1. By filing a verified complaint:
 - a. citing authority for jurisdiction of the Tribal Court;
 - b. naming the Mortgagor(s) and each record owner claiming through the

Mortgagor(s) subsequent to the recording of the Mortgage, including each Subordinate Lienholder (except the Tribe with respect to a claim for a Tribal tax on the Property subject to the Mortgage), as a defendant;

- c. describing the Property subject to the Mortgage;
- d. stating the facts concerning:
 - (1) the execution of the Lease, if any, and the Mortgage;
 - (2) the recording of the Mortgage; and
 - (3) the alleged default(s) of the Mortgagor(s) (and any other facts as may be necessary to constitute a cause of action);
- e. having appended as exhibits true and correct copies of each promissory note, Lease, if any, Mortgage, and, if applicable, assignment thereof relating to a Leasehold Estate;
- f. including an allegation, if applicable, that all relevant requirements and conditions prescribed in a Lease have been complied with by the Mortgagee or its successors or assigns; and
- g. otherwise satisfying the requirements of the Tribal Court.

2. By issuing notice in accordance with the Code of the Chickasaw Nation requiring Mortgagor(s) and each other entity claiming through the Mortgagor, as defendants, to appear for a trial upon the complaint on a date and time specified in such notice. No judgment shall be given in any such proceeding before such time that the defendants have opportunity to respond pursuant to Chapter 22, Title 5 of the Code of the Chickasaw Nation.

SECTION 18-401.6. SERVICE OF PROCESS AND TRIBAL COURT PROCEDURES

Service of process, Tribal Court procedures and the issuance of judgments in any proceeding originated pursuant to this Act shall be in accordance with Title 5 of the Code of the Chickasaw Nation.

SECTION 18-401.7. CURE OF DEFAULT BY SUBORDINATE LIENHOLDER

Prior to the entry of a judgment of foreclosure of a Mortgage pursuant to this Act, any

Mortgagor or any Subordinate Lienholder may cure the default(s) under the Mortgage. Any Subordinate Lienholder who has cured a default shall thereafter have included in its lien the amount of all payments made by such Subordinate Lienholder to cure such default(s), plus interest on such amounts at the rate stated in the promissory note evidencing the subordinate lien.

SECTION 18-401.8. POWER OF THE TRIBAL COURT

If the alleged default(s) have not been cured, and if the Tribal Court should find for the Mortgagee or its successors or assigns, the Tribal Court shall enforce the provisions of the Lease, if any, and security instrument including:

1. foreclosing the interest in Property claimed by the Mortgagor(s) and each other defendant named in the complaint upon whom proper and timely service has been made, including each such Subordinate Lienholder;
2. assigning such interest in Property to the Mortgagee or the Mortgagee's assignee; and
3. assessing the reasonable costs of the proceedings against the party or parties against whom judgment is given.

ARTICLE II

EVICITION PROCEDURES

SECTION 18-402.1. JURISDICTION

The provisions of this Article II shall apply to all Property and parties to Mortgages subject to the jurisdiction of the Chickasaw Nation and all Property and parties to Mutual Help and Occupancy Agreements pursuant to the Mutual Help Homeownership Opportunity Program administered by the Chickasaw Nation.

SECTION 18-402.2. UNLAWFUL DETAINER

A Lessee, Tenant or other occupier of a Property subject to this Act shall be guilty of unlawful detainer if such person shall continue in occupancy of the Property under any of the following situations:

1. Without the requirement of any notice by the Chickasaw Nation (or Lessor, if any):
 - a. after the expiration of the term of any Lease;
 - b. if such person has entered onto or remains on the Property of another without having any legal right to possess the Property;
 - c. after a Lessor has terminated such person's tenancy pursuant to procedures providing such person a hearing before such Lessor; or after a right to possession is terminated; or
 - d. after a Mortgage has been foreclosed in a Mortgage Foreclosure Proceeding in the Tribal Court.
2. The Lessee, Tenant or other occupier shall remain in possession of such Property contrary to the terms of a notice:
 - a. (1) that he or she is in default in the payment of ground rent and (2) requiring him or her to either pay such rent or surrender possession of the occupied Property and (3) and he or she has not surrendered possession of such Property nor paid the rent within a 30-day period following the notice;
 - b. when Lessee, tenant or other occupier of the Property shall continue for 30 days to fail to keep or perform any condition or covenant of a Lease, MHO Agreement or other use agreement under which the Property is held after he or she has been given notice to comply with such condition or covenant or else to surrender the Property; or
 - c. when such person continues to commit or to permit Waste upon or maintain a Nuisance upon the occupied Property after having been given notice to either cease such Waste or maintenance of Nuisance or to surrender the Property.

SECTION 18-402.3. PROCEDURES FOR SERVICE OF NOTICE

Notices required or authorized in the immediately preceding section shall be given in accordance with Title 5 of the Code of the Chickasaw Nation.

SECTION 18-402.4. COMPLAINT AND SUMMONS

The Lessor or the Mortgagee (including its successors or assigns) shall commence an action for unlawful detainer by filing with the Tribal Court, in writing, the following documents:

1. A complaint, signed by the Lessor, the Mortgagee (or its successors or assigns), or an agent or attorney on their behalf, as Plaintiff(s), including the following:

- a. citing authority for jurisdiction of the Tribal Court;
- b. naming each record owner and any Mortgagor(s) and each record owner claiming through the Mortgagor(s) subsequent to the recording of a Mortgage or the execution of a Lease or MHO Agreement, including any Subordinate Lienholder (except the Tribe with respect to a claim for a Tribal tax on the Property), as defendant(s);
- c. describing the Property subject to a Mortgage, Lease or MHO Agreement;
- d. stating the facts concerning:
 - (1) any Mortgage, Lease or MHO Agreement and its execution;
 - (2) the recording of any Mortgage, Lease or MHO Agreement;and
 - (3) the facts upon which Plaintiff(s) seek(s) to recover;
- e. stating any claim for damages or compensation due from the person(s) to be evicted; and
- f. otherwise satisfying the requirements of the Tribal Court.

2. A copy of the summons shall be issued in accordance with Title 5 of the Code of the Chickasaw Nation.

SECTION 18-402.5. SERVICE OF COMPLAINT AND SUMMONS

A copy of the summons and complaint shall be served upon the defendants in accordance with Title 5 of the Code of the Chickasaw Nation.

SECTION 18-402.6. POWER OF THE TRIBAL COURT

A. The Tribal Court shall enter a Writ of Restitution if:

1. notice of suit and trial is given by service of summons and complaint in accordance with the procedures provided herein; and
2. the Tribal Court shall find that the occupier of the Property is guilty of an act of unlawful detainer.

B. Upon issuance of a Writ of Restitution, the Tribal Court shall have the authority to enter against the defendant(s) a judgment for the following:

1. back rent, unpaid utilities, and any charges due the Tribe or other Lessor under any Lease or MHO Agreement;
2. any and all amounts secured by a Mortgage that are due the Mortgagee (or its successors or assigns); and
3. damages caused by the defendant(s) to the Property. The Tribal Court shall have the authority to award costs and reasonable attorney's fees in bringing suit to the prevailing party.

SECTION 18-402.7. ENFORCEMENT

Upon issuance of a Writ of Restitution by the Tribal Court, tribal or BIA law enforcement officers shall enforce the Writ of Restitution by evicting the defendants and their property from the Property which is unlawfully occupied. The Writ of Restitution shall be enforced no later than 60 days after the date of issuance of the Writ, subject to Section 18-402.8 below.

SECTION 18-402.8. CONTINUANCES

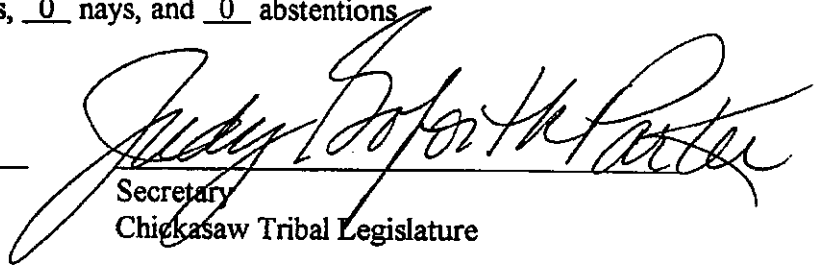
Except by agreement of all parties, there shall be no continuances in Unlawful Detainer Actions which will interfere with the requirement that the Writ of Restitution be enforced not later than 60 days from the date of issuance of the Writ of Restitution.

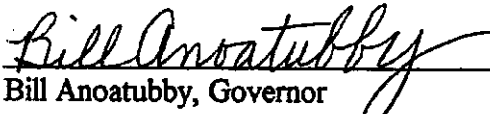
Chickasaw Nation Mortgage Enforcement Act of 1996

BL 14-003

Executed in regular session of the Chickasaw Tribal Legislature, meeting at Ada, Oklahoma, on November 15, 1996, by a vote of 13 ayes, 0 nays, and 0 abstentions


Chairperson
Chickasaw Tribal Legislature


Secretary
Chickasaw Tribal Legislature

Concur: 
Bill Anoatubby, Governor
The Chickasaw Nation

Date: **NOV 15 1996**